

Morning Briefing

Saturday 23 May 2026 | Generated 06:18 BST | London

NOTE: 23 May 2026 is a Saturday. European markets next open Monday 26 May. US markets are closed Monday 26 May (Memorial Day). All data sourced from Friday 22 May 2026 closes unless otherwise noted.

2. IMPORTANT NEWS

Kevin Warsh sworn in as 17th Federal Reserve Chair at White House ceremony

[CNN Business](#) / [CNBC](#) — 22 May 2026

Warsh confirmed 54-45 in most divisive Fed vote in history. Markets now price rates on hold through 2026 with a hike possible in early 2027. Inflation at three-year high, mortgage rates at nine-month high. Hawkish transition risk is live.

US-Iran nuclear talks stall: Supreme Leader orders enriched uranium to stay in country

[CNBC](#) / [Reuters](#) — 22 May 2026

Oil rebounded sharply after Iran's directive effectively blocks a near-term deal. Brent ~\$105/bbl, WTI ~\$98. Strait of Hormuz remains disrupted; 20% of global oil and LNG still choked. Wood Mackenzie sees Brent at ~\$80 only if deal closes by June.

Nvidia Q1 FY2027 beats across the board: EPS \$1.87 vs \$1.78 est, revenue \$81.6bn

[SEC 8-K](#) / [Kiplinger](#) / [TipRanks](#) — 21 May 2026

Dividend lifted from \$0.01 to \$0.25/qtr; \$80bn buyback authorised. Strong guidance. Shares inched up on the news — gains capped by crude and yield pressure. AI capex cycle confirmation keeps semiconductor sector bid.

30-year US Treasury yield hits 5.19%, highest since pre-GFC; 10-year at 4.60%

[Bloomberg](#) / [CNBC](#) — 19-22 May 2026

Surge driven by oil-led inflation re-acceleration and Warsh inauguration. Market now sees next Fed move as a hike, not a cut. Risk of sovereign spread widening across EM and lower-rated European issuers.

Walmart Q1 revenue beats but Q2 guidance disappoints; shares fell on weak outlook

[Schwab Market Update](#) / [MarketScreener](#) — 22 May 2026

Consumer bellwether signalling demand softening despite top-line beat. Q2 guidance below consensus heightens concern about US consumer resilience against energy-driven inflation.

3. EUROPEAN FUTURES — Pre-Open (Monday 26 May)

Data collected approx. 06:18 BST Saturday 23 May. Friday pre-open indications used as proxy for Monday open context.

CONTRACT	DIRECTION / LEVEL	EXPECTED MOVE	NOTE
Euro Stoxx 50	+0.8% (Fri pre-open)	Higher open	Friday saw positive open; Monday follow-through subject to weekend news
Stoxx 600	+0.7% (Fri pre-open)	Higher open	Broad European benchmark tracking Nvidia/AI theme
DAX	n/a specific	n/a	Friday close 24,889; Monday futures await weekend developments
CAC 40	n/a specific	n/a	n/a
FTSE 100	n/a specific	n/a	n/a
S&P 500 (US context)	7,473 area	US closed Mon (Memorial Day)	Last close Fri 22 May; no US cash until Tue 27 May
Nasdaq 100 (US context)	29,478	US closed Mon (Memorial Day)	Futures level at time of collection

4. YESTERDAY'S CLOSES — Friday 22 May 2026

INDEX	CLOSE	CHANGE	% CHANGE
Euro Stoxx 50	5,974	~0	flat
Stoxx 600	622	+1.2	+0.2%
DAX	24,889	n/a	n/a
CAC 40	n/a	n/a	n/a
FTSE 100	n/a	n/a	n/a

Sources: CNBC, Trading Economics. DAX level from Bloomberg/Trading Economics. CAC and FTSE specific Friday closes not confirmed — marked n/a.

5. US MARKETS — Friday 22 May 2026

INDEX	CLOSE	CHANGE (PTS)	% CHANGE
S&P 500	7,473.47	+27.75	+0.37%
Dow Jones	50,580	+294	+0.58%
Nasdaq Composite	n/a specific	n/a	+0.2%

Session tone: Cautiously positive. All three indices gained but moves were modest. Kevin Warsh's swearing-in and rising crude and Treasury yields kept bulls in check. Nvidia's blowout Q1 beat had limited market impact — shares barely moved as the beat was priced in and energy costs weighed. Walmart guidance disappointed. S&P 500 extended its winning streak to eight consecutive weeks. Bank stocks and financials outperformed on Warsh inauguration (hawkish lean seen as positive for net interest margins). Consumer staples lagged on Walmart weakness. Energy sector mixed: oil price gain supports revenues but demand-destruction fears cap upside.

6. ASIAN MARKETS — Friday 22 May 2026 Close

INDEX	CLOSE	CHANGE (PTS)	% CHANGE
Nikkei 225	63,137.02	+1,452.88	+2.36%
Hang Seng	25,560.82	+174.3	+0.69%
Shanghai Composite	4,080.10	+2.83	+0.07%
Kospi	n/a specific	n/a	+0.31%

Tone: Broadly positive, Japan leading. Nikkei surged 2.36% — strongest single-day gain in weeks — driven by Nvidia's earnings beat, which lifted AI and semiconductor proxies across Asia. SoftBank Group surged ~20% on direct Nvidia AI exposure. Japan April export data also supportive: +14.8% YoY, fastest since January, semiconductor shipments strong. Hang Seng edged up, Shanghai barely moved. The Kospi advanced modestly; South Korean chipmakers tracked Nvidia momentum. China mainland subdued amid ongoing property sector headwinds.

7. COMMODITIES

Data approx. May 22 2026 session close.

COMMODITY	LEVEL	SESSION CHANGE	NOTE
Brent Crude	~\$105.02/bbl	Rebounded	Iran uranium directive killed deal hopes; Hormuz disruption live; ~50% above pre-war
WTI Crude	~\$98.26/bbl	Rebounded	US stockpiles fell for fourth straight week; \$100 handle tested intraday
Gold	~\$4,500/oz	Fell	Slipped from earlier highs (~\$5,405 in Jan 2026); Iran deal optimism faded, then rebounded partially with oil
Natural Gas	n/a specific	Fell sharply	Significant session drop; Middle East energy price surge moderating for gas vs oil
Copper	n/a spot	n/a	GS 2026 avg forecast \$12,100/t; concentrate shortages support; demand outlook mixed

Oil is the dominant macro variable. Brent at ~\$105 with Hormuz still disrupted drives inflation fears that now overshadow any near-term rate-cut narrative. Goldman Sachs sees Brent falling to ~\$80 only on a rapid deal — that path has narrowed materially after Iran's uranium stance. Energy executives flag full supply normalisation not until 2027.

8. RATES & FX

Data approx. May 22 2026 close.

INSTRUMENT	LEVEL	CHANGE	NOTE
US 10Y Treasury	4.60%	One-year high	Inflation re-acceleration + Warsh; market now leans next move is a hike
US 30Y Treasury	5.19%+	Post-GFC high	\$25bn 30Y auction cleared at 5.046% on 19 May; long-end selling pressure intense
German 10Y Bund	3.04%	-6bps	Flight to quality vs UST; US-Germany spread widening
EUR/USD	~1.17	n/a precise	Range ~1.1678-1.1789 in early May; DXY rise caps EUR upside
GBP/USD	n/a	n/a	UK retail sales released Fri 22 May — outcome not confirmed in sources
DXY	99.32	+0.06%	Dollar firm; Warsh trades interpreted as dollar-supportive

The UST curve is signalling a fundamental regime shift. The 30Y above 5.19% closes off the "higher-for-longer-then-cut" narrative. Warsh's hawkish reputation, combined with oil-driven inflation at three-year highs, is repricing the entire risk-free curve. German Bund eased 6bps Friday — the transatlantic yield spread is widening, which provides modest EUR support but USD strength from safe-haven and rate-differential flows remains dominant.

9. DCM — PRIMARY BOND MARKET

9A. YESTERDAY'S ISSUANCES (WEEK OF 18-22 MAY 2026)

ISSUER	SIZE	TENOR	TYPE	NOTES
Lufthansa	€750m	5.7Y	Sr Unsecured IG	First senior euro deal since 2024. Priced ~19 May. Proceeds for GCP and refi. Fuel cost headwind of up to €1.7bn flagged. ITA stake completion June 2026.
Airbus	n/a size	n/a	Sr Unsecured IG	First euro bond since 2020 (GlobalCapital). Timing: week of 18 May.
Multiple (Oncor, TP, EWE)	n/a	n/a	Various IG	GlobalCapital: "Rare corporates use open week to mount euro deals." Investor calls held during week. Specific pricing n/a (paywall).

9B. PIPELINE / EXPECTED THIS WEEK

Week of 26 May is a short week (UK: no holiday; US closed Monday Memorial Day). Pipeline indications suggest continued airline/transport sector activity given elevated fuel cost hedging needs. No specific mandates confirmed for week of 26 May at time of collection. Monitor IFR/GlobalCapital for Monday morning pipeline updates.

9C. KEY SPREADS

INDEX	LEVEL	CHANGE	DIRECTION
iTraxx Main (IG, 5Y)	n/a	n/a	n/a — real-time data not sourced
iTraxx Crossover (HY, 5Y)	n/a	n/a	n/a — real-time data not sourced
CDX IG (5Y)	n/a	n/a	n/a — real-time data not sourced
Avg EUR Corp IG Spread	n/a	n/a	n/a — real-time data not sourced

9D. COMMENTARY

The euro primary market window stayed open during the week of 18-22 May, with airlines leading a wave of issuance: Lufthansa and Airbus both tapped EUR markets at notable benchmarks (first senior deal since 2024 and first since 2020 respectively). Investor appetite for aviation paper remains present despite elevated fuel costs — books oversubscribed on both deals per GlobalCapital. The window into week of 26 May is supported by tightening German Bund yields (3.04%, -6bps Friday) even as US rates surge; European IG credit has a degree of insulation from the UST sell-off via the Bund move. However, the 30Y UST above 5.19% creates a ceiling: any sustained risk-off shock from Iran escalation or Warsh surprise could close the window quickly. Industrials, transport and aerospace remain the most active sectors.

10. ECONOMIC CALENDAR — Monday 26 May 2026 (next trading day)

US markets closed (Memorial Day). European and UK markets open. Key releases that moved markets this past week for context.

PAST WEEK KEY RELEASES (FOR REFERENCE)

Tue 19 May	UK Labour Market Data	n/a	HIGH
Wed 20 May	UK CPI — inflation data	n/a	HIGH
Thu 21 May	Eurozone/Germany Flash PMI (Manufacturing + Services)	n/a	HIGH
Thu 21 May	US Flash PMI	n/a	HIGH
Thu 21 May	FOMC April Meeting Minutes	n/a	HIGH
Fri 22 May	UK Retail Sales	n/a	MEDIUM
Fri 22 May	German IFO Business Climate / Consumer Confidence	n/a	MEDIUM
Fri 22 May	French Business Confidence	n/a	MEDIUM

MONDAY 26 MAY (US CLOSED)

All day	US Markets closed — Memorial Day holiday	—	NOTE
TBC	Eurozone / UK data — no major confirmed releases sourced	n/a	MEDIUM

11. CORPORATE EVENTS & EARNINGS

THIS PAST WEEK (NOTABLE EVENTS)

- **Nvidia (NVDA)** — Q1 FY2027 earnings 20 May: EPS \$1.87 (+5% vs est), revenue \$81.6bn. Dividend raised 25x to \$0.25/qtr. \$80bn buyback. Full guidance maintained. Key AI capex signal.
- **Walmart (WMT)** — Q1 earnings: revenue beat, EPS in line, Q2 guidance below consensus. Shares fell.
- **Lufthansa** — €750m senior unsecured bond priced ~19 May. ITA Airways 90% stake acquisition (€325m) targeted for June 2026 completion.
- **Airbus** — First EUR bond since 2020 priced week of 18-22 May.
- **SoftBank Group (9984.T)** — Shares +~20% on May 21 in Tokyo, directly benefiting from Nvidia AI results.
- **Boeing (BA)** — 135 net orders in April 2026 (57 737 MAX, 51 787, 28 777X) — strongest 4-month order performance since 2014.

MONDAY 26 MAY — NOTABLE EVENTS

No major European or US earnings confirmed for Monday 26 May at time of collection. US markets closed for Memorial Day. Monitor for any pre-market announcements or weekend corporate news flow. Lufthansa's ITA stake closure approaching (target June) could generate corporate news.

12. STOCKS TO WATCH

For Monday 26 May European open. US markets closed.

LHA GY (Lufthansa)	Bond priced last week (€750m, 5.7Y); ITA Airways stake (June close); fuel costs up €1.7bn this year; euro bond window open for airlines. Watch for any Iran deal/oil move weekend.	WATCH
AIR FP (Airbus)	Priced first EUR bond since 2020 last week; 135-order April wave at Boeing (competitor signal); defense budget expansion tailwind. May gap up/down depending on weekend news.	POSITIVE BIAS
9984 JP (SoftBank)	Surged ~20% Friday on Nvidia AI read-through. Tokyo trades Monday; may consolidate after vertical move. AI investment portfolio repricing.	VOLATILE
NVDA US	Q1 FY2027 beat: EPS \$1.87, rev \$81.6bn. Dividend raised 25x. \$80bn buyback. US markets closed Monday; European AI/tech proxies will track sentiment.	POSITIVE (US Tue)
WMT US	Guidance miss. European consumer proxies (Carrefour, Tesco) may see pressure on consumer demand read-across.	NEGATIVE READ-ACROSS
BA US / European A&D	Boeing 135 net orders in April — strongest since 2014. European defense spending up (\$1.5tn US FY2027 budget proposed). L3Harris DOW rocket motor contract. Sector broadly bid.	POSITIVE
Oil majors (BP, SHEL, TTE)	Brent ~\$105, Iran deal hopes collapsed again. Short-term revenue tailwind. Watch Hormuz headlines over weekend. Majors likely to open higher Monday if oil holds.	POSITIVE BIAS
European Banks	Warsh inauguration hawkish for rate outlook — NIM expansion narrative intact. 10Y UST at 4.60%, Bund at 3.04%. ECB rate path now uncertain. Monitor for weekend central bank commentary.	POSITIVE BIAS
FSLR US (First Solar)	Freedom Broker upgraded to Buy, PT \$260. Energy transition / clean energy theme supported by elevated oil. US closed Monday; EUR solar proxies may benefit.	POSITIVE (US Tue)
JBHT US / Transport	J.B. Hunt: +4% broker upgrade momentum. European transport (DSV, Kuehne+Nagel) to watch given oil cost exposure and Hormuz disruption on shipping.	WATCH (OIL COST RISK)

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

- **Fed leadership transition completed:** Kevin Warsh sworn in 22 May. Confirmed 54-45 — most divisive in Fed history. Markets pricing hold through 2026, then possible hike in early 2027. No rate cuts expected under Warsh near-term. Inflation at three-year high; mortgage rates nine-month high.
- **US yield curve under pressure:** 10Y at 4.60% (one-year high), 30Y at 5.19%+ (post-GFC high). \$25bn 30Y auction cleared at 5.046% on 19 May. The "higher for longer then cut" narrative is dead — the "higher for longer then hike" scenario is now being priced.
- **Q1 earnings season beats:** 84% of S&P 500 reporters beat EPS estimates; blended YoY earnings growth +15.1%. Forward PE still stretched at 20.9x vs 5Y avg 19.9x and 10Y avg 18.9x — valuation risk if yield headwinds persist.
- **Japan export surge:** April exports +14.8% YoY, fastest since January, led by semiconductors. Supports BoJ normalisation narrative and JPY mild strength case.

CORPORATE

- **Nvidia dividend revolution:** \$0.01 to \$0.25/qtr — 25x increase. Signals confidence in earnings durability. \$80bn buyback. Moves Nvidia into income territory for institutional mandates.
- **Lufthansa / ITA Airways:** €325m acquisition of 90% stake targeting June 2026 close. Bond funded partly to support. Creates new European aviation consolidation narrative alongside fuel cost pressure.
- **Boeing order momentum:** 135 net April orders — strongest four-month performance since 2014. Recovery narrative rebuilding. Watch MAX and 787 delivery rates.
- **Rocket Lab (RKLB):** Q1 revenue \$200.3m (record); Q2 guidance \$225-240m. Backlog above \$2.2bn. \$816m Space Development Agency contract. Small-cap space play gaining institutional traction.

POLITICAL / GEOPOLITICAL

- **US-Iran negotiations at impasse:** Iran Supreme Leader directive on enriched uranium effectively blocks deal. Strait of Hormuz shipping remains ~halted since US/Israeli strikes on 28 Feb. 20% of global oil and LNG affected. Full normalisation not expected before 2027 per energy executives.
- **Trump demands lower rates vs Warsh's mandate:** Political tension between White House and new Fed Chair now live. If growth weakens or financial conditions tighten excessively, executive pressure on Warsh will intensify — creating Fed independence risk premium.
- **US defense budget expansion:** Trump proposed \$1.5tn for FY2027 (vs \$901bn FY2026). NATO partners under pressure to match. European defense spending acceleration structural tailwind for Airbus, Leonardo, Rheinmetall, KNDS.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5 (SATURDAY 23 / MONDAY 26 MAY)

1. Iran weekend news risk

Any diplomatic breakthrough or escalation over the weekend directly resets Brent. A deal collapses the \$105 floor toward \$80; escalation pushes toward \$120. European oil majors and transport stocks open accordingly Monday.

2. US market closure — thin European liquidity

With US out for Memorial Day, European Monday session will have limited cash equity support and thinner order books. Moves can be exaggerated in either direction. Futures likely to drive price discovery.

3. Warsh Fed positioning — bond market reaction

First full weekend with Warsh as Chair. Any Fed governor speeches or Warsh signalling over the weekend will move UST on Monday night/Tuesday. European bond markets will track Bund vs UST spread.

4. Nvidia / AI momentum carryover

SoftBank +20% Friday; European AI proxies (ASML, Infineon, STMicro) may gap higher Monday. The Nvidia beat removed the key near-term AI capex uncertainty event.

5. Lufthansa / ITA deal progress

June close date imminent. Any regulatory or financing news this weekend moves the stock Monday. Market will watch whether fuel-cost headwinds prompt deal restructuring.

THIS WEEK'S TOP 5 (26-30 MAY 2026)

1. US PCE inflation data (Fri 29 May)

Fed's preferred inflation gauge. With Warsh now in charge and rates already repricing toward a hike, a hot PCE print could trigger another leg of UST selling and EUR/USD pressure.

2. Iran-US talks resumption / Hormuz update

Any diplomatic channel reopening mid-week resets oil. Sustained Brent above \$105 starts to threaten European growth forecasts and ECB rate-cut timing.

3. ECB speakers and guidance

With Bund at 3.04% and UST diverging, ECB communication on June meeting intent is critical. Hawks vs doves will shape EUR rates and EUR/USD direction this week.

4. Euro DCM pipeline reopening post-Memorial Day

With US back Tuesday 27 May, USD and EUR IG primary markets could see a wave of mandated deals sitting in pipeline. Watch for Monday morning IFR/GlobalCapital pipeline report.

5. European PMI revisions and consumer data

Flash PMIs ran Thursday 21 May; any revision or follow-on sentiment data this week feeds into ECB June decision risk. Energy cost inflation is the key drag on consumer and manufacturing confidence.

THIS MONTH'S TOP 5 (MAY/JUNE 2026)

1. ECB June decision — cut, hold, or signal hike?

The biggest near-term rate event for European markets. Energy-driven inflation and Warsh Fed positioning complicate the ECB's path. A hold with hawkish language could spike EUR rates sharply.

2. Iran nuclear deal — June deadline or impasse

Wood Mackenzie's base case of \$80 Brent requires a deal by June. Failure means sustained \$100+ oil into H2 2026. This is the single biggest macro variable for European growth, inflation, and credit markets.

3. Lufthansa / ITA Airways acquisition close (June)

First major European aviation M&A in the current high-fuel-cost environment. Sets precedents for European airline consolidation and cross-border deal financing appetite.

4. US 30Y yield stabilisation or further rise

If 30Y sustains above 5.19%, the ripple into European IG credit spreads, mortgage markets, and equity valuations (particularly high-multiple tech) could become disorderly. The June FOMC (17-18 June) is the next major valve.

5. Nvidia / AI capex cycle — June quarter guidance

Q1 beat confirmed AI capex intact. The next test is whether hyperscalers (Microsoft, Google, Meta, Amazon) maintain CapEx guides in their June calls. Any trim to AI spending forecasts would unwind the semiconductor rally sharply.

15. KEY TRENDS TO WATCH

1 DAY — MONDAY 26 MAY SESSION

- Iran weekend headlines: any ceasefire signal or escalation is the primary session mover. Brent at \$105 is the fulcrum.
- Thin US-absent liquidity: without US cash equity, European indices may drift or exaggerate initial moves. Watch for Vol spikes in VSTOXX.
- Nvidia read-across into ASML, Infineon, STMicro, ASMI — AI semis could open with a bid.
- European banks: Warsh hawkishness read = NIM positive; any ECB speaker surprise reverses this.
- Oil majors: BP, Shell, TotalEnergies to track Brent open directly.

1 WEEK — 26-30 MAY 2026

- US PCE Friday 29 May: the next major inflation datapoint under Warsh's watch. Sets tone for June FOMC.
- US markets return Tuesday 27 May: expect volume surge; positioning adjustment after long weekend and Warsh/Iran developments.
- ECB June meeting preparation: Lagarde and governing council communication critical this week for EUR rates.
- Euro primary market reopening: USD and EUR IG desks likely active; monitor for deal announcements Tuesday-Thursday.
- Hormuz: any shipping movement restart or further closure escalation affects European energy inflation directly.

1 MONTH — MAY-JUNE 2026

- ECB June decision (est. 5 Jun): cut vs hold vs hawkish hold — the most consequential European rate event of H1 2026.
- FOMC June 17-18: Warsh's first meeting as Chair. Rate guidance under new leadership. Market watching for any policy framework shift.
- Iran deal or no deal by June: the terminal condition for oil prices in H2 2026. No deal = structural \$100+ Brent.
- US 30Y yield trajectory: sustained above 5% starts affecting European sovereign spreads via global risk-free rate reset.
- AI capex confirmation: hyperscaler Q2 reports (late July) are the next major checkpoint. May-June is the interim window where AI theme trades on Nvidia momentum alone.

Sources

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Data collected automatically Sat 23 May 2026 ~06:18 BST. Verify all figures before making any decision. Some data points marked n/a where real-time confirmation was not available from open sources.